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Report Name: Navigation to Resume through Suez Canal after one of the Largest Cargo Ships blocked the Crucial Waterway for Seven Days

Country: Egypt

Post: Cairo

Report Category: Agricultural Situation, Agriculture in the News, Grain and Feed, Oilseeds and Products, Coffee, MISC-Commodity

Prepared By: Ahmed Wally, Agricultural Specialist, Ibrahim ElHabbal, Marketing and Capacity building specialist, and Elizabeth Mello ,Senior Regional Agricultural Attaché

Approved By: Elizabeth Mello . Senior Regional Agricultural Attaché

Report Highlights:

One of the largest ships in the world was refloated and moving through the Suez Canal after being stranded and blocking the crucial global transport lane for more than a week. The floatation efforts included towing and pushing the grounding vessel using 14 large tugboats. The blocked waterway has already led to considerable shipping delays, fueling a rise in prices of many commodities including crude oil and African coffee for almost a week. The blockage has also delayed e-commerce product deliveries as the supply chain has been severely distressed. Egyptian Imports of wheat, corn and soybeans were not impacted while a slowdown in food imports and exports from and to South East Asia due to the blockage did occur. The delay in shipping and rise in shipping costs have also

contributed to an increase in inland shipping by trucks to neighboring Jordan and Arabian Gulf countries.

The Economic Significance of the Suez Canal:

The Suez Canal is a 120 mile man-made waterway running north to south across the Isthmus of Suez in Egypt, connecting the Mediterranean and Red Seas, and by extension the Atlantic and Indian Oceans. The canal, which entered service in 1869 and took 10 years to construct, provides the shortest maritime route for moving goods between Europe, Asia and the Eastern U.S., making the Suez Canal is the most important waterway in the world.

The Suez Canal is run by the state-owned Suez Canal Authority (SCA) and is one of Egypt's main sources of foreign currency and a revenue contributor for the Egyptian government, generating \$5.61 billion in CY 2020. Last year 18,829 vessels passed through the canal in both directions with an overall net tonnage of 1.17 billion, a slight decrease from volume in 2019. Canal revenues went down by 4.3 percent due to the COVID outbreak in CY 2020 compared to the previous year.

About 12-13 percent of global trade passes through the canal annually, everything from crude oil and cars to agricultural commodities and food products. A total of 18,880 ships transited the canal in CY 2019 in both directions with an overall net tonnage of 1.2 billion. According to SCA annual report of CY 2019, the top five agricultural commodities that transited the canal in both directions were grains, oilseeds, vegetable oil, wood timber and lumber and other food stuff (Coffee, spices and Molasses).

Egypt's revenues from the Suez Canal increased by 5 percent since the Canal expansion project five years ago (CY 2015-2020), compared with the previous five years (CY 2010-2015). Ships transiting the canal increased by 4.65 percent and tonnage carried on ships increased by 19.56 percent during the same period (CY 2015-2020).

According to Moody's the Suez Canal will not affect Egypt's B2 stable balance of payments. Suez Canal revenues amounted to almost 2 percent of the country's GDP on average prior to the COVID-19 Pandemic, providing a significant contribution to Egypt's total current account earnings.

Almost one million barrels of oil and roughly 8 percent of the globe's liquefied natural gas pass through the canal each day. Without the Suez waterway, an oil tanker carrying crude oil from the Arabian Gulf to Europe would have to travel an additional 6,000 miles around Africa's Cape of Good Hope, adding some \$300,000 in energy costs.

The Ever Given sky-scraper ship Blocks a Major Trade Artery:

This strategic shipping waterway was completely blocked on March 23, 2021 when the huge container cargo ship Ever Given (1312 feet long by 197 feet width) and carrying more than 220,000 MT turned sideways in heavy and dusty winds, causing its longbow to become stuck into the side of the canal. The 400 meter long Ever Given became thronged diagonally across a southern section of the Suez, halting shipping movement in one of the world's busiest waterways.

According to SCA, at least 422 boats were waiting to transit the canal, including dozens of container ships, bulk carriers, oil tankers and liquefied natural gas (LNG) and liquefied petroleum gas (LPG) vessels.

Promising signs first emerged earlier on Monday 29th when the rear of the vessel was freed from one of the canal's banks. This was the result of successful push and tow maneuvers, which led to the restoration of more than 80 percent of the vessel's direction, until it was finally pulled off re-floated successfully after seven days of blocking a major trade artery.

The floatation efforts conducted by SCA and Dutch experts included towing and pushing the grounding vessel using 12 large tugboats. Two additional tugboats were later deployed to Suez Canal in order to aid efforts to free the Ever Given wedged for seven days across the waterway.

The Dutch-flagged Alp Guard, a specialist tugboat, and the Italian-flagged Carlo Magno were deployed to assist the Ever Given. Both tugboats, along with at least 12 others already based in the Canal, will nudge the Ever Given as dredgers continue to vacuum up sand from underneath the ship and pile the mud to the port sides.

By March 28, 2021, having removed 27,000 tons of sand and mud, the dredging operation underway has succeeded in loosening the Ever Given's longbow within the bank of the canal and the ship's stern has been cleared from the sand bank.

The rudder and propeller of the vessel are fully functional and expected to provide additional support to tugboats assigned to move the container ship from the accident site so that normal transit may again resume within the canal. The rescue team is continuing the dredging efforts and will resume attempts to refloat the vessel. Tug boats had spent several hours on March 29th to free the longbow of the immense ship after dislodging the stern earlier in the day.

The rescue procedure had strengthened in both determination and global attention with each day that passed, as ships from around the world, carrying vital commodities, were blocked from entering the canal during the calamity, raising anxiety of both markets and governments over the impact on global supply chains.

According to SCA, the canal lost \$12- 14 million in revenue daily due to this blockage, with a total estimated loss of \$ 84- 98 million over the course of the week, including freight delays, etc.

How the Suez Canal Blockage Interrupted Global Trade:

The blockage of the Suez Canal by a sky-scraper container ship threatened to deepen a supply chain crisis that has left international companies, shipping carriers and port managers fighting soaring costs for more than a year. The canal episode may drive shipping costs higher, which would add to inflationary pressures on supply chains as the post-pandemic recovery continues.

On the global trade level, the incident projected to temporarily affect the global container throughput volume by 10 to 15 percent, according to Moody's estimations. However, Increased consumer and industrial demand, a global shortage of container capacity, and low service reliability from global container shipping companies have already caused long delays and made supply chains highly

vulnerable according to Moody's. The Suez Canal is a crucial trade route for many Industrial and Agricultural commodities.

FAS Cairo contacts have indicated that the canal episode represented a challenging week for many agricultural commodity traders due to backlogs in global shipping.

Impact on Egypt's Food Commodities Imports and Exports:

Egypt imports significant amounts of wheat, corn and soybeans which amounted to 28 million metric tons in CY 2020. The Canal incident did not have an impact on the arrival of such commodities to major ports further away from the Suez Canal. Egypt was able to secure a steady supply of major commodities at a time when commodity prices and freight costs were significantly high. Consumers are starting to revert to their traditional spending patterns, meaning more consumption is anticipated.

Food imports from South East Asia, India and Australia such as spices and legumes faced a slow down due to the blocking of the Canal. On the other hand, Citrus exports to Asian countries also witnessed a slowdown due to this disruption, impacting trade and supply chains causing higher shipping costs to far destinations. The delay in shipping and rise in shipping costs have also contributed to an increase in inland shipping by trucks to neighboring Jordan and Arabian Gulf countries.

Attachments:

No Attachments.